

(3) A notice given under subsection (1) or (2) shall be in the form approved by the Board and shall set out,

- (a) information about the order made under paragraph 6, 7 or 8 of subsection 30 (1);
- (b) the amount of rent that the landlord may lawfully charge the new tenant until the prohibition in the order made under paragraph 6, 7 or 8 of subsection 30 (1) ends;
- (c) the amount of rent that the landlord may lawfully charge the new tenant after the prohibition in the order made under paragraph 6, 7 or 8 of subsection 30 (1) ends;
- (d) information about the last lawful rent charged to the former tenant; and
- (e) such other information as is prescribed. 2006, c. 17, s. 114 (3).

Order takes effect after tenancy agreement

(4) If an order made under paragraph 6, 7 or 8 of subsection 30 (1) takes effect in respect of a rental unit after a new tenancy agreement relating to the rental unit takes effect, the landlord shall promptly give to the new tenant written notice about the lawful rent for the rental unit in accordance with subsection (5), unless the order was made on the application of the new tenant. 2006, c. 17, s. 114 (4).

Contents of notice

(5) A notice given under subsection (4) shall be in the form approved by the Board and shall set out,

- (a) information about the order made under paragraph 6, 7 or 8 of subsection 30 (1); and
- (b) such other information as is prescribed. 2006, c. 17, s. 114 (5).

Application by new tenant

115 (1) A new tenant who was entitled to notice under section 114 may apply to the Board for an order,

- (a) determining the amount of rent that the new tenant may lawfully be charged until the prohibition in the order made under paragraph 6, 7 or 8 of subsection

30 (1) ends;

(b) determining the amount of rent that the new tenant may lawfully be charged after the prohibition in the order made under paragraph 6, 7 or 8 of subsection 30 (1) ends; and

(c) requiring the landlord to rebate to the new tenant any rent paid by the new tenant in excess of the rent that the tenant may lawfully be charged. 2006, c. 17, s. 115 (1).

Time for application

(2) No order shall be made under subsection (1) unless the application is made not later than one year after the new tenancy agreement takes effect. 2006, c. 17, s. 115 (2).

Failure to comply with s. 114

(3) If, in an application under subsection (1), the Board finds that the landlord has not complied with section 114, the Board may order the landlord to pay to the Board an administrative fine not exceeding the greater of \$10,000 and the monetary jurisdiction of the Small Claims Court. 2006, c. 17, s. 115 (3).

Information to be filed

(4) If an application is made under subsection (1), the landlord shall file with the Board information as prescribed within the time prescribed. 2006, c. 17, s. 115 (4).

Application of s. 135

(5) Section 135 does not apply to a new tenant with respect to rent paid by the new tenant in excess of the rent that the tenant could lawfully be charged if an application could have been made under subsection (1) for an order requiring the rebate of the excess. 2006, c. 17, s. 115 (5).

NOTICE OF RENT INCREASE

Notice of rent increase required

116 (1) A landlord shall not increase the rent charged to a tenant for a rental unit without first giving the tenant at least 90 days written notice of the landlord's

intention to do so. 2006, c. 17, s. 116 (1).

Same

(2) Subsection (1) applies even if the rent charged is increased in accordance with an order under section 126. 2006, c. 17, s. 116 (2).

Contents of notice

(3) The notice shall be in a form approved by the Board and shall set out the landlord's intention to increase the rent and the amount of the new rent. 2006, c. 17, s. 116 (3).

Increase void without notice

(4) An increase in rent is void if the landlord has not given the notice required by this section, and the landlord must give a new notice before the landlord can take the increase. 2006, c. 17, s. 116 (4).

Compliance by landlord, no notice required

117 (1) Despite section 116 but subject to subsections (3) and (4), if an order was issued under paragraph 6 of subsection 30 (1) and a new tenancy agreement was entered into while the order remained in effect, no notice of rent increase is required for the landlord to charge an amount that the landlord would have been entitled to charge in the absence of the order. 2006, c. 17, s. 117 (1).

Same

(2) Despite section 116 but subject to subsections (3) and (4), if an order was issued under paragraph 8 of subsection 30 (1), no notice of rent increase is required for the landlord to take a rent increase that the landlord would have been entitled to take in the absence of the order. 2006, c. 17, s. 117 (2).

Limitation

(3) Subsections (1) and (2) apply only where the landlord,

(a) has completed the items in work orders for which the compliance period has expired and which were found by the Board to be related to a serious breach of a health, safety, housing or maintenance standard; and

(b) has completed the specified repairs or replacements or other work ordered under paragraph 4 of subsection 30 (1) found by the Board to be related to a serious breach of the landlord's obligations under subsection 20 (1) or section 161. 2006, c. 17, s. 117 (3).

Effective date

(4) The authority under subsection (1) or (2) to take an increase or charge an amount without a notice of rent increase is effective on the first day of the rental period following the date that the landlord completed,

(a) the items in work orders for which the compliance period has expired and which were found by the Board to be related to a serious breach of a health, safety, housing or maintenance standard; and

(b) the specified repairs or replacements or other work ordered under paragraph 4 of subsection 30 (1) found by the Board to be related to a serious breach of the landlord's obligations under subsection 20 (1) or section 161. 2006, c. 17, s. 117 (4).

Date of annual increase

(5) In determining the effective date of the next lawful rent increase under section 119,

(a) an amount charged under subsection (1) shall be deemed to have been charged at the time the landlord would have been entitled to charge it if the order under paragraph 6 of subsection 30 (1) had not been issued; and

(b) an increase taken under subsection (2) shall be deemed to have been taken at the time the landlord would have been entitled to take it if the order under paragraph 8 of subsection 30 (1) had not been issued. 2006, c. 17, s. 117 (5).

Deemed acceptance where no notice of termination

118 A tenant who does not give a landlord notice of termination of a tenancy under section 47 after receiving notice of an intended rent increase under section 116 shall be deemed to have accepted whatever rent increase would be allowed under this Act after the landlord and the tenant have exercised their rights under this Act. 2006, c. 17, s. 118.

12-MONTH RULE

12-month rule

119 (1) A landlord who is lawfully entitled to increase the rent charged to a tenant for a rental unit may do so only if at least 12 months have elapsed,

(a) since the day of the last rent increase for that tenant in that rental unit, if there has been a previous increase; or

(b) since the day the rental unit was first rented to that tenant, if clause (a) does not apply. 2006, c. 17, s. 119 (1).

Exception

(2) An increase in rent under section 123 shall be deemed not to be an increase in rent for the purposes of this section. 2006, c. 17, s. 119 (2).

GUIDELINE

Guideline increase

120 (1) No landlord may increase the rent charged to a tenant, or to an assignee under section 95, during the term of their tenancy by more than the guideline, except in accordance with section 126 or 127 or an agreement under section 121 or 123. 2006, c. 17, s. 120 (1).

Guideline

(2) The Minister shall determine the guideline in effect for each calendar year as follows:

1. Subject to the limitation set out in paragraph 2, the guideline for a calendar year is the percentage change from year to year in the Consumer Price Index for Ontario for prices of goods and services as reported monthly by Statistics Canada, averaged over the 12-month period that ends at the end of May of the previous calendar year, rounded to the first decimal point.

2. The guideline for a calendar year shall be not more than 2.5 per cent. 2012, c. 6, s. 1.

Publication of guideline

(3) The Minister shall have the guideline for each calendar year published in *The Ontario Gazette* not later than August 31 of the preceding year. 2012, c. 6, s. 1.

Guideline for 2021

(3.1) The guideline for the calendar year 2021 is zero per cent, despite subsection (2) and despite the guideline published under subsection (3) in *The Ontario Gazette* for 2021. 2020, c. 23, Sched. 7, s. 1.

Same

(3.2) The Minister is not required to have the guideline for the calendar year 2021, as set out in subsection (3.1), published in *The Ontario Gazette*. 2020, c. 23, Sched. 7, s. 1.

Transition

(4) The guideline for the calendar year in which the commencement date occurs is the guideline established for that year under this section as it read immediately before the commencement date. 2012, c. 6, s. 1.

Same

(5) If the commencement date occurs on or after September 1 in a calendar year, the guideline for the following calendar year is the guideline established for that year under this section as it read immediately before the commencement date. 2012, c. 6, s. 1.

Review by Minister

(6) The Minister shall initiate a review of the operation of this section within four years after the commencement date and thereafter within four years after the end of the previous review. 2012, c. 6, s. 1.

Definition

(7) In subsections (4), (5) and (6),

“commencement date” means the day section 1 of the *Residential Tenancies Amendment Act (Rent Increase Guideline)*, 2012 comes into force. 2012, c. 6, s. 1.

▼ Section Amendments with date in force (d/m/y)

Application of guideline to previously exempt units

120.1 (1) This section applies to every rental unit that,

- (a) immediately before the exemption repeal date, was exempt from section 120 under subsection 6 (2), as that section read immediately before that date; and
- (b) on and after the exemption repeal date, is not exempt from section 120 under any provision of this Act or under the regulations. 2017, c. 13, s. 21.

Definitions

(2) In this section,

“exemption repeal date” means the date subsection 3 (2) of the *Rental Fairness Act, 2017* (which repeals subsection 6 (2) of this Act) comes into force; (“date d’abrogation de l’exclusion”)

“previously exempt rental unit” means a rental unit described in subsection (1). (“logement locatif antérieurement exclu”) 2017, c. 13, s. 21.

Transition rules

(3) One of the following sets of rules applies where the landlord of a previously exempt rental unit has given the tenant notice of a rent increase before the exemption repeal date and the amount of the rent increase provided for under the notice is more than the guideline:

1. If the notice of rent increase is given before April 20, 2017, the following rules apply:

i. Despite the repeal of subsection 6 (2), as it read immediately before the exemption repeal date, by subsection 3 (2) of the *Rental Fairness Act, 2017*, the previously exempt rental unit continues to be exempt from the application of section 120 of this Act for the purpose of that rent increase.

ii. The amount of the new rent shall be the amount set out in the notice.

2. If the notice of rent increase is given on or after April 20, 2017 and the new rent takes effect before the exemption repeal date, then, despite the rent increase having taken effect, the following rules apply:

i. The amount of new rent charged to the tenant for the rental unit after the

exemption repeal date shall be decreased to an amount equal to the sum of,

A. the amount of rent that was charged to the tenant before the rent increase took effect, and

B. a rent increase equal to the guideline increase.

ii. The amount of new rent paid before the exemption repeal date that is in excess of the amount that would have been paid if the rent increase had been equal to the guideline increase for the calendar year, together with any related amount collected under subsection 106 (3), is a debt owed by the landlord to the tenant and shall be refunded to the tenant by the landlord within 60 days after the exemption repeal date.

iii. If the landlord fails to refund the amount owing under subparagraph ii within 60 days after the exemption repeal date, the tenant may deduct the amount from a subsequent rent payment.

3. If the notice of rent increase is given on or after April 20, 2017 and the rent increase takes effect on or after the exemption repeal date, the following rules apply:

i. The rent increase shall take effect on the date set out in the notice, subject to subparagraph ii.

ii. The amount of the new rent shall not be the amount set out in the notice but shall be equal to the sum of,

A. the amount of rent that was charged to the tenant before the rent increase took effect, and

B. a rent increase equal to the guideline increase. 2017, c. 13, s. 21.

Same

(4) For greater certainty, nothing in subsection (3) validates a notice of rent increase that did not comply with section 116 at the time the notice was given. 2017, c. 13, s. 21.

▼ Section Amendments with date in force (d/m/y)

AGREEMENTS TO INCREASE OR DECREASE RENT

Agreement

121 (1) A landlord and a tenant may agree to increase the rent charged to the tenant for a rental unit above the guideline if,

- (a) the landlord has carried out or undertakes to carry out a specified capital expenditure in exchange for the rent increase; or
- (b) the landlord has provided or undertakes to provide a new or additional service in exchange for the rent increase. 2006, c. 17, s. 121 (1).

Form

(2) An agreement under subsection (1) shall be in the form approved by the Board and shall set out the new rent, the tenant's right under subsection (4) to cancel the agreement and the date the agreement is to take effect. 2006, c. 17, s. 121 (2).

Maximum increase

(3) A landlord shall not increase rent charged under this section by more than the guideline plus 3 per cent of the previous lawful rent charged. 2006, c. 17, s. 121 (3).

Right to cancel

(4) A tenant who enters into an agreement under this section may cancel the agreement by giving written notice to the landlord within five days after signing it. 2006, c. 17, s. 121 (4).

Agreement in force

(5) An agreement under this section may come into force no earlier than six days after it has been signed. 2006, c. 17, s. 121 (5).

Notice of rent increase not required

(6) Section 116 does not apply with respect to a rent increase under this section. 2006, c. 17, s. 121 (6).

When prior notice void

(7) Despite any deemed acceptance of a rent increase under section 118, if a landlord and tenant enter into an agreement under this section, a notice of rent increase given

by the landlord to the tenant before the agreement was entered into becomes void when the agreement takes effect, if the notice of rent increase is to take effect on or after the day the agreed to increase is to take effect. 2006, c. 17, s. 121 (7).

Tenant application

122 (1) A tenant or former tenant may apply to the Board for relief if the landlord and the tenant or former tenant agreed to an increase in rent under section 121 and,

- (a) the landlord has failed in whole or in part to carry out an undertaking under the agreement;
- (b) the agreement was based on work that the landlord claimed to have done but did not do; or
- (c) the agreement was based on services that the landlord claimed to have provided but did not do so. 2006, c. 17, s. 122 (1).

Time limitation

(2) No application may be made under this section more than two years after the rent increase becomes effective. 2006, c. 17, s. 122 (2).

Order

(3) In an application under this section, the Board may find that some or all of the rent increase above the guideline is invalid from the day on which it took effect and may order the rebate of any money consequently owing to the tenant or former tenant. 2006, c. 17, s. 122 (3).

Additional services, etc.

123 (1) A landlord may increase the rent charged to a tenant for a rental unit as prescribed at any time if the landlord and the tenant agree that the landlord will add any of the following with respect to the tenant's occupancy of the rental unit:

- 1. A parking space.
- 2. A prescribed service, facility, privilege, accommodation or thing. 2006, c. 17, s. 123 (1).

Application